

INSURANCE



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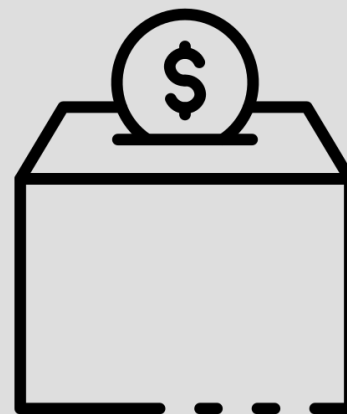
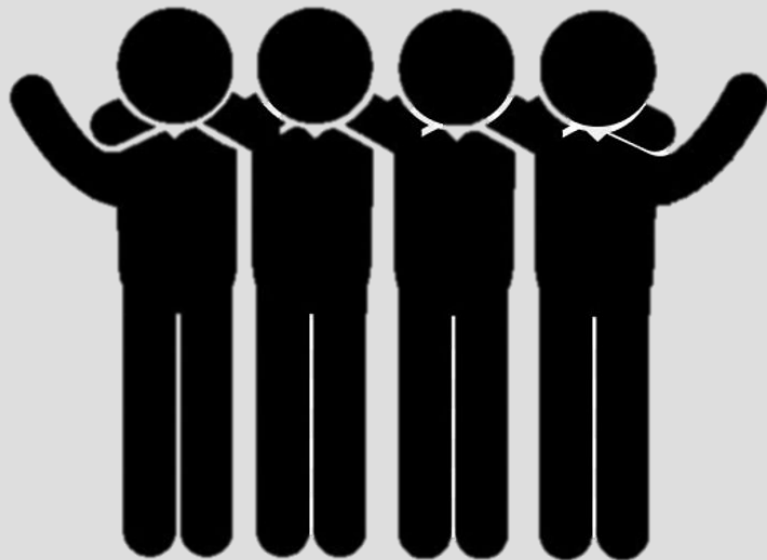
THE PHILOSOPHY OF **INSURANCE**

insurance is founded on collective
risk-sharing to prevent or mitigate financial
loss



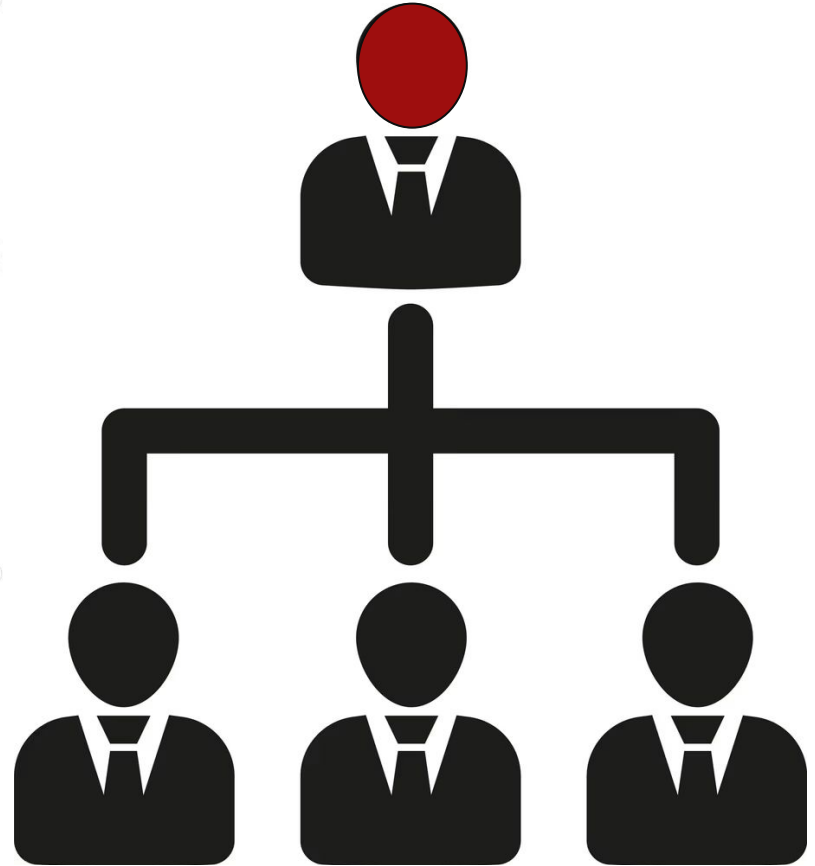






Collaborative

Commercial



1

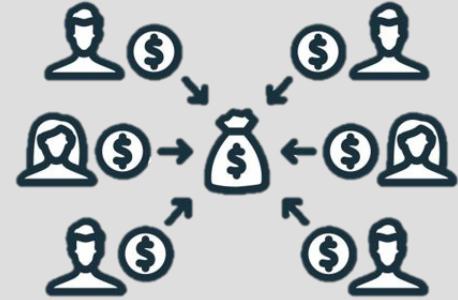


COLLABORATIVE INSURANCE

DEFINITION

It is a contractual system based on the principles of compensation or donation, or a mixture of both. In this system, one party commits to provide monetary compensation to another party in the event of an incident or similar occurrence. This term has become widespread and is applied in all countries around the world.

FORMS OF COLLABORATIVE INSURANCE IN ISLAM



People of Zakat

Kinship system

Social solidarity
system



SOCIAL SOLIDARITY SYSTEM

TYPES OF COLLABORATIVE INSURANCE SYSTEMS:

**Retirement
System**

**Social Security
System**

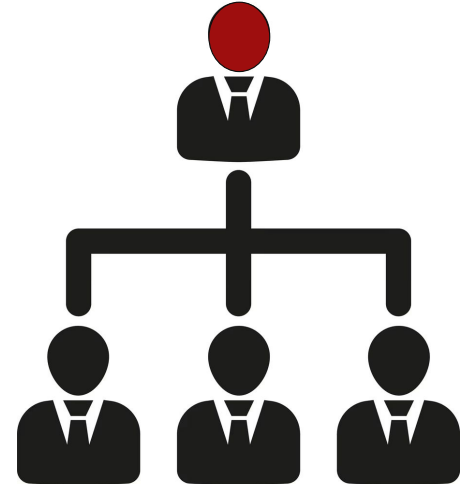
**Reciprocal
Insurance**

LEGAL RULING

The scholars have agreed that social/cooperative insurance is deemed fully lawful across all forms because it fulfills the Islamic objective of mutual solidarity rather than commercial profit.

Because the collaborative insurance is a **donation contract**, it is purely mutual cooperation intended to alleviate the impact of disasters and repair their effects to the best of one's ability, without seeking to generate profits, and this type of insurance is free of any usury.

1



COMMERCIAL **INSURANCE**

DEFINITION

It is a contract signed between the insurance company and an insured person. Upon this contract, the insurance company is legally bound to pay an amount of money – the insurance amount- to cover any risk or damage that befalls the insured person. In return, the insured person has a commitment to pay a regular sum of money called installments or premium payments.

The company seeks to gain profit from the difference between the total premiums collected from subscribers (the insured) and the payouts made to resolve claims.

EMERGANCE OF COMMERCIAL INSURANCE (15TH CENTURY)



ELEMENTS OF THE INSURANCE CONTRACT

- 01 The Insurer
- 02 The Insured
- 03 The Risk
- 04 The installments
- 05 The Insurance amount

CONDITIONS OF THE RISK

- 01 The uncertainty of the risk happening.
- 02 The risk should not be intentional.
- 03 The risk must not be prohibited by law.
- 04 The risk must be a future event
- 05 The risk must be a regular danger.

TYPES OF COMMERCIAL INSURANCE

01

INSURING PEOPLE

- 1- LIFE INSURANCE
- 2- CASUALTY
INSURANCE

02

PROPERTY
INSURANCE

Physical assets

03

LIABILITY
INSURANCE

Legal consequences

LEGAL RULE: PROHIBITION

01

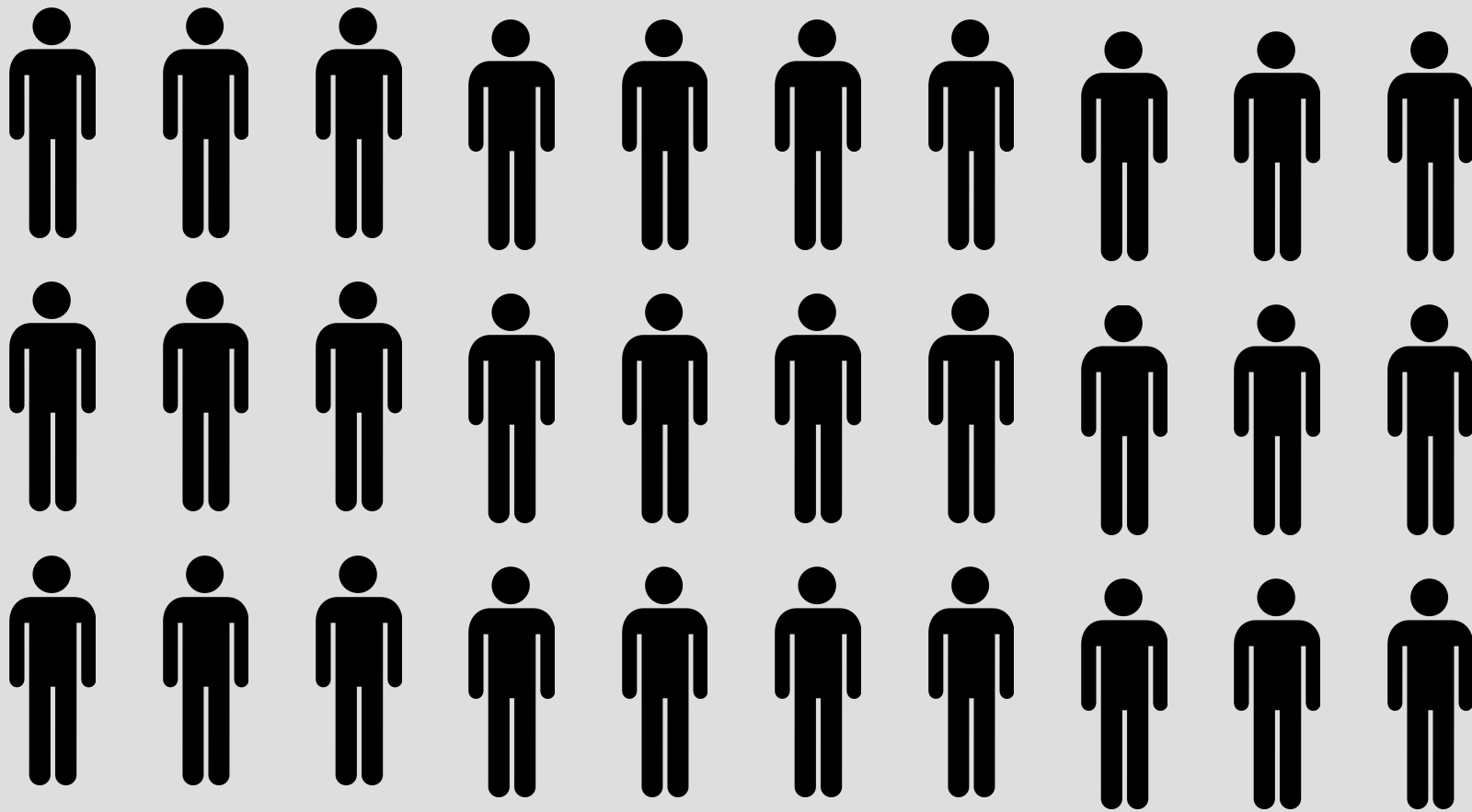
EXCESSIVE
UNCERTAINTY

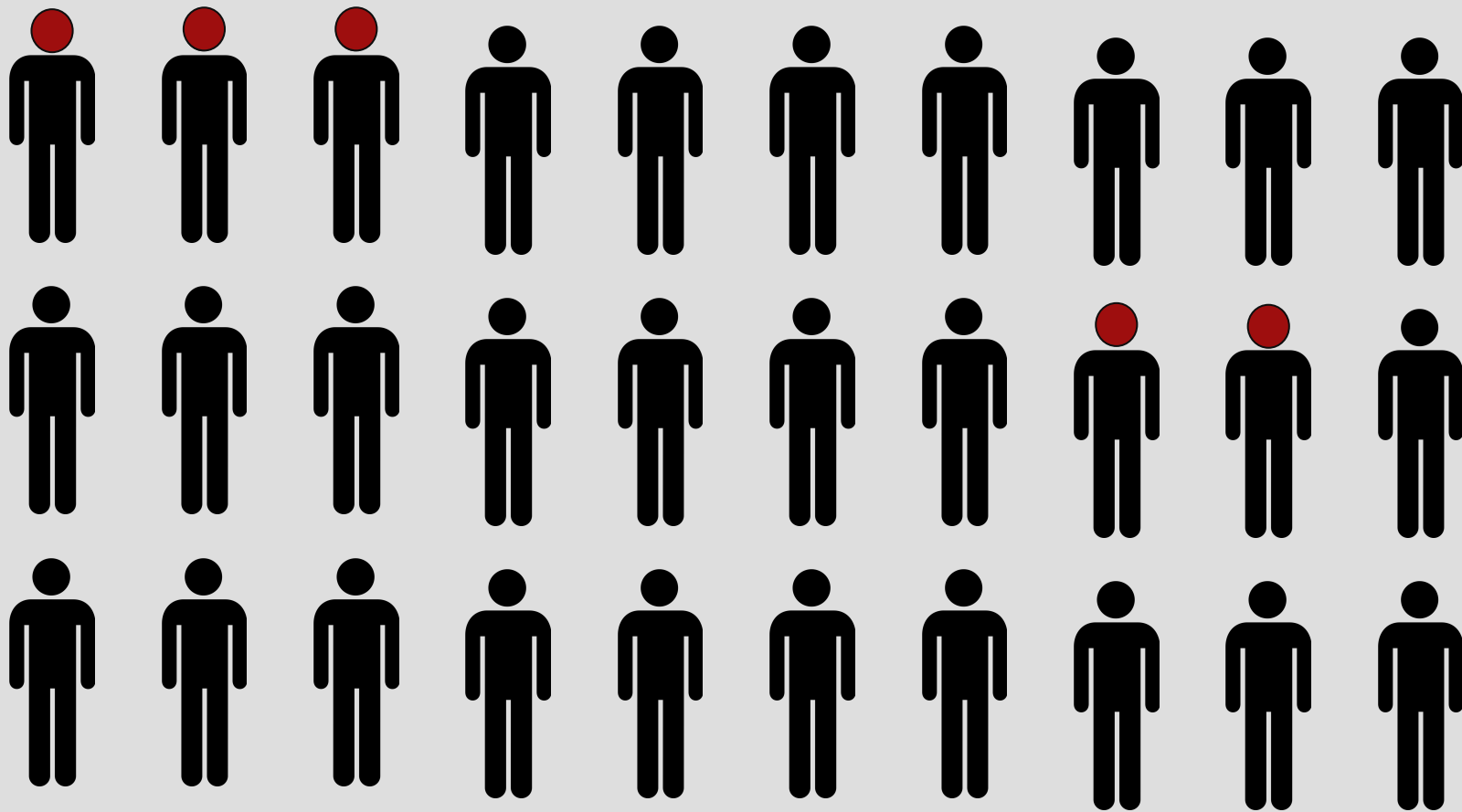
02

ELEMENTS OF
GAMBLING

03

INVOLVES USURY





EXMEPTIONS

01

If contract is
dependant and not
original

02

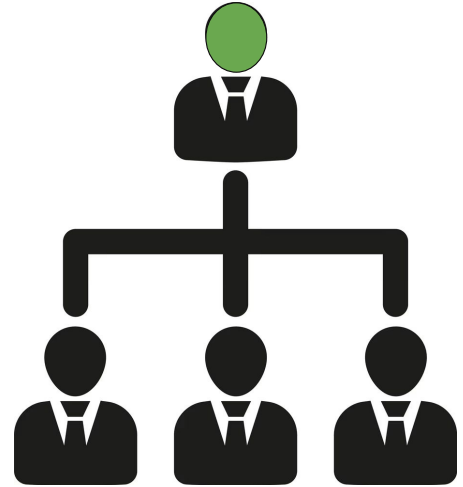
If necessary

03

If free

WHAT DOES A COLLABORATIVE INSURANCE CONTRACT LOOK LIKE?

- Collect subscriptions from members
- Manage the money and invest in it for the benefit of the members
- Managing body can deduct a sum for the effort of management only
- Surplus is re-invested in the fund and not toward the managing company



INSURANCE	COMMERCIAL	COLLABORATIVE
RULING		
TYPE OF CONTRACT		
END-GOAL		
SURPLUS		
PERSONAL VS COMMUNAL		

INSURANCE	COMMERCIAL	COLLABORATIVE
RULING	prohibited	encouraged
TYPE OF CONTRACT		
END-GOAL		
SURPLUS		
PERSONAL VS COMMUNAL		

INSURANCE	COMMERCIAL	COLLABORATIVE
RULING	prohibited	encouraged
TYPE OF CONTRACT	compensative	donation
END-GOAL		
SURPLUS		
PERSONAL VS COMMUNAL		

INSURANCE	COMMERCIAL	COLLABORATIVE
RULING	prohibited	encouraged
TYPE OF CONTRACT	compensative	donation
END-GOAL	profit	solidarity
SURPLUS		
PERSONAL VS COMMUNAL		

INSURANCE	COMMERCIAL	COLLABORATIVE
RULING	prohibited	encouraged
TYPE OF CONTRACT	compensative	donation
END-GOAL	profit	solidarity
SURPLUS	No surplus	Recalls surplus
PERSONAL VS COMMUNAL	personal	communal